

No. 08-661

IN THE
Supreme Court of the United States

AMERICAN NEEDLE, INC.,

Petitioner,

v.

NATIONAL FOOTBALL LEAGUE, *et al.*,

Respondents.

ON WRIT OF CERTIORARI TO THE
UNITED STATES COURT OF APPEALS
FOR THE SEVENTH CIRCUIT

BRIEF FOR AMICUS CURIAE
THE NATIONAL HOCKEY LEAGUE IN
SUPPORT OF THE NFL RESPONDENTS

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INTEREST OF THE *AMICUS CURIAE* ¹

Amicus is a major professional sports league in North America and, like other professional sports leagues, is a legitimate joint venture created to make, promote and sell its sport – National Hockey League ("NHL") hockey. This includes the games themselves as well as constituent venture output such as trademarks, hats and other league- and team-related products. *Amicus* has a significant interest in this case. These products would not exist but for the interdependent cooperation of the Member Clubs of the NHL. Nevertheless, the NHL's ongoing, internal business decisions concerning the venture's basic composition and output are continually subject to the threat and interference of unwarranted lawsuits under Section 1 of the Sherman Act, 15 U.S.C. § 1.

The NHL is an unincorporated association organized as a joint venture among thirty Member Clubs that operates a professional hockey league. Founded in 1917 as a five-team league, the NHL has since expanded (and contracted) to its current membership. Each Club operates a professional hockey team throughout a diverse group of cities in the United States and Canada. No Member Club alone can produce NHL hockey. The NHL venture collectively creates the games, promotes the league

¹ No counsel for a party authored this brief in whole or in part, and no counsel or party made a monetary contribution intended to fund the preparation or submission of this brief. No person other than *amicus curiae*, its members, or its counsel made a monetary contribution to its preparation or submission. Counsel of record for all parties have consented to this brief's filing. The letters of consent have been filed with the Clerk.

and the sport, and seeks to maximize value for all of the Clubs by marketing and selling constituent venture output such as broadcasting rights, sponsorships, advertising, intellectual property and merchandise.

Like the NFL, the economic value of an individual NHL Member Club derives from its joint participation in the league and the production of NHL Hockey as well as from its League-determined home territory. If a particular Club were not a Member of the NHL venture, its team, as well as its team-related intellectual property and products, would have no meaningful economic value. Consequently, no Member Club in the NHL wants to see either the NHL venture or other Clubs fail or see any Club so financially weakened that it cannot compete on the ice. Because of this economic interdependence, the collective efforts to market and sell NHL Hockey and the venture's output are part of the very essence of the NHL enterprise.

Under the NHL Constitution and By-Laws, the affairs of the NHL are governed by the NHL Board of Governors, which is comprised of one representative from each of the thirty Member Clubs. The Board of Governors is charged with upholding the NHL Constitution, By-Laws and other NHL rules and procedures. Pursuant to the NHL Constitution, the Board of Governors from time to time passes resolutions addressing the business of the league, including the licensing of league and team intellectual property and other activities related to league output. Over time, the Board of Governors has made the business judgment that NHL hockey and its constituent output are best promoted and sold through a combination of league economic

activity on behalf of all NHL Member Clubs and decentralized, individual economic operation by each Club in its exclusive home territory, which is granted under the NHL Constitution.

Notwithstanding the indisputable legitimacy of the NHL venture, the threat of a § 1 lawsuit looms after *every* one of the NHL's internal collective decisions concerning how best to make, promote and sell the NHL venture's output. The NHL spent much of the past two years in the midst of just such litigation. In *Madison Square Garden, L.P. v. National Hockey League*, No. 07 Civ. 8455 (S.D.N.Y.), Madison Square Garden ("MSG"), owner of the New York Rangers, alleged violations of § 1 regarding the allocation of certain venture rights collectively shared among the teams, as compared to those reserved to an individual team within its local territory. While MSG admitted that the NHL was a legitimate joint venture, plaintiff sought injunctive relief against a broad array of the NHL's basic business operations – all of which were the result of internal NHL Board of Governors decisions – including with respect to the licensing of league and team intellectual property, national and local broadcasting arrangements, merchandising and marketing of league and team products, advertising and sponsorship regulations, and all new media activities.

The NHL also recently faced a challenge to the fundamental league decisions regarding *who* makes NHL hockey and *where* it will be promoted and sold. In *In re Dewey Ranch Hockey, LLC*, No. 2:09-bk-09488-RTBP (Bankr. D. Az.), Coyotes Hockey, LLC, the entity that manages the Phoenix Coyotes, filed for bankruptcy and sought to sell the franchise's

NHL membership and substantially all of the team's assets to a prospective owner in a location other than the team's home territory in Phoenix, Arizona, and it did so without the consent of the twenty-nine other team owners as required under the NHL Constitution and By-Laws – the organic, formative documents of the joint venture.

While admitting that the NHL is a legitimate joint venture, Plaintiff Coyotes Hockey, LLC and the prospective owner alleged that these rules and procedures were the result of a "horizontal agreement" among the NHL member teams, and that under § 1 (and certain sections of the Bankruptcy Code) the bankruptcy court had the authority to order the sale and relocation of the Club over the NHL's objection.²

Amicus thus has a critical interest in a clear pronouncement from the Court that professional sports leagues may decide how to make, promote and sell the venture's output without the risk and cost of protracted, complex and uncertain antitrust litigation. Section 1 should not be available to second-guess the ongoing, internal business decisions of a legitimate joint venture whose products would not even exist but for the venture's formation, including those addressed in *American Needle Inc. v. National Football League*, 538 F.3d 736 (7th Cir. 2008), *cert. granted*, 129 S. Ct. 2859 (U.S. June 29,

² Both the *MSG* and *Dewey Ranch Hockey* litigations were resolved without decision from the courts on the NHL's argument that the NHL Member Clubs are incapable of conspiring under § 1 with respect to the alleged "restraints" at issue.

2009) (No. 08-661). As legitimate joint ventures, professional sports leagues should be on a level playing field with any single firm when deciding how and where to produce, promote and sell the output created by and encompassed within the venture.³

SUMMARY OF ARGUMENT

1. In *Copperweld Corp. v. Independence Tube Corp.*, 467 U.S. 752 (1984), this Court asked why Congress had decided that § 1 would only reach concerted action and not unilateral behavior. This Court found that business combinations – once adjudged legitimate at formation – should be able to operate like any other single firm, and explained why § 1 would not apply to such an enterprise's ongoing, operational decisions. While *Copperweld* examined the parent-subsidiary context under this reasoning, the lower courts have properly applied *Copperweld*'s principles beyond its facts to a number of different "enterprises" and factual contexts.

In this case, the Court should now clarify that these principles apply to all of the ongoing production, promotional and marketing decisions of professional sports leagues – i.e., any internal business decision concerning how and where to make,

³ While several *Amici* to Petitioner address concerns over § 1's application to certain asserted "input" markets (e.g., player and coach services), the present case involves only venture output, and the Court need not reach whether or to what extent issues of conspiratorial capacity may be unique to purchases of such inputs. See generally Brief *Amici Curiae* for National Football League Players Association et al.; *Amicus* Brief of the National Football League Coaches Association.

promote or sell the venture's output, including league and team intellectual property. Moreover, the Court should recognize that the "products" created by a professional sports league include not only the playing and broadcasting of games leading up to a championship series, but also the intellectual property (and related merchandise) encompassed within the venture, irrespective of whether the venture itself or one of its members sells that output. Most fundamentally, the internal business decisions concerning the venture's output derive from the venture's creation and nothing else – i.e., a single source of economic power that also has the ultimate ability to control the venture and its products. Whether a given venture product is marketed or sold by the league on behalf of all the teams or individually by each member team is irrelevant; any such organizational decision stems from the venture itself – as collectively governed by the member teams – and not any independent source of economic power or decision-maker. Section 1 therefore should not allow every venture member, customer, supplier or vendor to second-guess internal business decisions about how best to make, promote or sell venture products.

2. In *Texaco Inc. v. Dagher*, 547 U.S. 1 (2006), this Court recognized the importance of joint ventures to the American economy and the need for legitimate joint ventures to be able to operate "like any other firm." *Id.* at 5, 7. Although the Court did not have occasion to address the question of whether § 1 is inapplicable to joint ventures, *see id.* at 7 n.2, *Dagher's* reasoning should be applied to exempt from § 1 scrutiny the ongoing, internal business decisions of legitimate joint ventures – here, in particular,

professional sports leagues – concerning venture output. Section 1 still applies to alleged restraints that fall outside the scope of the venture.

Contrary to the suggestion of the United States as *Amicus* to Petitioner, single-entity treatment should not be limited to circumstances where the league and teams have "effectively merged." Such an alternative "test" would ignore the reasoning of both *Copperweld* and *Dagher*. In *Dagher* this Court did not suggest that the degree of integration between the venture members at issue was a limiting principle under which legitimate joint ventures should be treated as single firms. Moreover, the proposed test would effectively overrule every principle enunciated in *Copperweld* – and reinforced by *Dagher* – as to when the members of a legitimate business combination should be treated as a single enterprise under § 1.

ARGUMENT

I. *Copperweld*'s Principles Apply to the Ongoing, Internal Business Decisions of Professional Sports Leagues Concerning Venture Output

The task before this Court in *Copperweld*, 467 U.S. 752, was two-fold. As the Court saw it: (1) "the appropriate inquiry requires us to explain the logic underlying Congress' decision to exempt unilateral conduct from § 1 scrutiny," and (2) "to assess whether that logic similarly excludes the conduct of a parent and its wholly owned subsidiary." *Id.* at 776.

Significantly, and contrary to suggestions from Petitioner and its *Amici*, see, e.g., Brief of Petitioner

at 25, nothing in the *Copperweld* Court's "explanation" of the logic behind § 1 is limited to the parent-subsidary context. To be sure, this Court went on to apply the principles gleaned from the logic of Congress to a parent and its wholly owned subsidiary (the business combination there at issue), but the reasoning should apply – and has been applied by the lower courts – to other, *legitimate* business combinations. This Court should now apply these *Copperweld* principles to the ongoing, internal business decisions of professional sports leagues concerning venture output.

**A. Congressional Intent and
Copperweld's Reasoning with
Respect to the Limits of Section 1**

**1. Section 1 Is Not Aimed at
Legitimate Business
Combinations**

Looking to the legislative history of the Sherman Act, the *Copperweld* Court found that § 1 was intended to govern "combinations created for the very purpose of restraining trade" and not the "*postacquisition conduct* of corporations whose initial affiliation was lawful." 467 U.S. at 774 n.23 (emphasis added). Senator John Sherman himself is quoted:

"It is the unlawful combination, tested by the rules of common law and human experience, that is aimed at by this bill, and *not the lawful and useful combination.*"

Id. (emphasis added) (citation omitted).

Mindful of the underpinnings of § 1, this Court reviewed its own precedent concerning the so-called "intra-enterprise conspiracy" doctrine. *See id.* at 760-66. Although the Court had previously found that a parent and its wholly owned subsidiary could conspire for purposes of § 1, *Copperweld* noted that this "problem" had begun with *United States v. Yellow Cab Co.*, 332 U.S. 218 (1947). *See* 467 U.S. at 760. That case examined an alleged restraint among taxicab companies, all of which were controlled by a single individual. The controlling shareholder previously had acquired or merged his company with a number of independent taxicab companies. *See id.* This Court found that these separate, commonly controlled entities were capable of conspiring, but noted that the alleged "restraint of interstate trade was not only effected by the combination of the [taxicab companies] *but was the primary object of the combination.*" 332 U.S. 218, 227 (emphasis added).

Consequently, *Copperweld* recognizes that *Yellow Cab's* holding properly rests not on the intra-enterprise conspiracy doctrine, but on a "quite different proposition." 467 U.S. 752, 761. As this Court explained: "It has long been clear that a pattern of acquisitions may itself create *a combination illegal under § 1*, especially when an original anti-competitive purpose is evident from the affiliated corporations' *subsequent conduct.*" *Id.* (emphasis added). Ultimately, the *Copperweld* Court concluded that: "In *Yellow Cab*, the affiliation of the defendants was irrelevant because the original acquisitions were themselves illegal. . . . the illegality of the initial acquisition was a predicate for [the

Yellow Cab] holding that any post-acquisition conduct violated [§ 1]." *Id.* at 761 & n.5.

Likewise, the Court examined those prior cases that had relied on *Yellow Cab*, and found that this precedent was better understood as adjudging the combinations themselves – rather than any post-formation conduct (or agreement among the entities) – as violative of § 1. *See, e.g., Timken Roller Bearing Co. v. United States*, 341 U.S. 593 (1951); *see also Copperweld*, 467 U.S. at 765 ("[A]s in *Yellow Cab*, there was evidence that the stock acquisitions were themselves designed to effectuate restrictive practices.").

2. Section 1 Does Not Reach the Internal "Agreements" of Legitimate Business Combinations

Accordingly, the *Copperweld* Court set apart those combinations that are illegal at formation (as often evidenced by the enterprise's subsequent conduct), and analyzed the application of § 1 to post-formation "agreements" within *legitimate* business combinations. This Court observed that § 1 requires concerted activity between separate economic entities, and again returned to the underlying logic of Congress. 467 U.S. at 767-69. As *Copperweld* stated:

The reason Congress treated concerted behavior more strictly than unilateral behavior is readily appreciated. Concerted activity inherently is fraught with

anticompetitive risk. *It deprives the marketplace of the independent centers of decisionmaking that competition assumes and demands. In any conspiracy, two or more entities that previously pursued their own interests separately are combining to act as one for their common benefit.* This not only reduces the diverse directions in which economic power is aimed but *suddenly* increases the economic power moving in one particular direction.

Id. at 768-69 (emphasis added).

This Court further explained that an "internal 'agreement' to implement a single, unitary firm's policies does not raise the antitrust dangers that § 1 was designed to police," and asked – under the reasoning above – whether § 1 should ever apply to "agreements" between certain individuals or entities within a single firm. *Id.* at 769-71. The Court observed that the "officers [and employees] of a single firm are not separate economic actors pursuing separate economic interests, so agreements among them do not suddenly bring together economic power that was previously pursuing divergent goals," *id.* at 769, and that "coordination between a corporation and its division does not represent a sudden joining of two independent sources of economic power previously pursuing separate interests, [and consequently] it is not an activity that warrants § 1 scrutiny," *id.* at 770-71.

Consistent with these principles, this Court held that "[f]or similar reasons, the coordinated activity of a parent and its wholly owned subsidiary must be

viewed as that of a single enterprise for purposes of § 1." *Id.* at 771. In the Court's view, the objectives of a parent-subsidary combination "are common, not disparate; their general corporate actions are guided or determined not by two separate corporate consciousnesses, but one. *They are not unlike a multiple team of horses drawing a vehicle under the control of a single driver.*" *Id.* (emphasis added) ("If a parent and a wholly owned subsidiary do 'agree' to a course of action, there is no sudden joining of economic resources that had previously served different interests.").

The *Copperweld* Court thus confirmed – consistent with Senator Sherman's directive – that the members of a *legitimate* business combination should not be subject to § 1 scrutiny for ongoing, post-formation decisions within the scope of that enterprise. *See Copperweld*, 467 U.S. 752, 777 ("A corporation's initial acquisition of control will always be subject to scrutiny under § 1 of the Sherman Act and § 7 of the Clayton Act." (citation omitted)); 7 Phillip E. Areeda & Herbert Hovenkamp, *Antitrust Law* ¶ 1478c, at 325 (2d ed. 2003) ("Once a venture is judged to have been lawful at its inception and currently, decisions that do not affect the behavior of the participants in their nonventure business should generally be regarded as those of a single entity rather than the parents' daily conspiracy.").

In turn, post-formation decision-making among separate entities within a *legitimate* joint enterprise cannot represent an "agreement" for purposes of § 1 because any such coordination:

- "does not represent a *sudden* joining of two independent sources of economic power

previously pursuing separate interests," 467 U.S. at 771 (emphasis added); and,

- does not "deprive[] the marketplace of the independent centers of decisionmaking that competition assumes and demands," *id.* at 769.

Further, if "the parent may assert full control at any moment" in the event that the affiliate "fails to act in the parent's best interests," *id.* at 771-72, the members cannot conspire under § 1. Such related entities "share a common purpose whether or not the parent keeps a tight rein over the subsidiary." *Id.* at 771.⁴

Under these *Copperweld* principles, it is clear that ongoing, internal business decisions among the member teams of a professional sports leagues concerning venture output are not "agreements" in any sense contemplated by § 1.

B. The NFL Is a Legitimate Joint Venture Created to Maximize the Value of NFL Football and Its Constituent Products

Neither Petitioner nor any of its *Amici* challenge the legitimacy of the NFL as a lawful joint venture created to produce NFL football. *See Copperweld*,

⁴ Where such ultimate control exists, "the very notion of an 'agreement' in Sherman Act terms . . . lacks meaning. A § 1 agreement may be found when 'the conspirators had a unity of purpose or a common design and understanding, or a meeting of minds in an unlawful arrangement.'" 467 U.S. at 771 (emphasis added) (citation omitted).

467 U.S. at 768 (formation of joint venture subject to rule of reason). More importantly for this case, the NFL also indisputably is a legitimate, all-encompassing venture created to maximize economic value among its members, and not simply for the scheduling, rules-setting and playing of professional football games. The legitimate scope of the NFL joint venture necessarily includes the collective production, (and at times, independent) promotion and sale of NFL football and its constituent products – including league and team intellectual property and related merchandise – all of which derive their value from the league venture.

As the Seventh Circuit explained: NFL football "requires extensive coordination and integration between the teams"; and, in all aspects of league business, the "teams' individual success is necessarily linked to the success of the league as a whole." *Am. Needle*, 538 F.3d at 737. Simply stated, there would be no NFL product – and, significantly, no licensing of NFL team intellectual property – without the ongoing cooperation within the NFL joint venture; indeed, no team or its intellectual property would have *any* meaningful economic value were it not a member of the league venture.

Further, only the NFL venture and its member teams can make NFL football and its constituent products. And "[t]o say that participants in an organization may cooperate *is to say that they may control what they make and how they sell it.*" See *Chi. Prof'l Sports L.P. v. Nat'l Basketball Ass'n*, 95 F.3d 593, 598-99 (7th Cir. 1996) ("*Bulls II*") (emphasis added) ("[T]he producers of *Star Trek* may decide to release two episodes a week and grant exclusive licenses to show them, even though this reduces the

number of times episodes appear on TV in a given market.").

Accordingly, the NFL member teams' ongoing, internal decisions concerning the production, promotion and sale of NFL football and its constituent products (e.g., "how much the [NFL] charges for national telecasts") should be "for the league to resolve under its internal governance procedures. . . . Courts must respect a league's disposition of these issues, just as they respect contracts and decisions by a corporation's board of directors." *Id.* at 597; see *Verizon Commc'ns Inc. v. Law Offices of Curtis V. Trinko, LLP*, 540 U.S. 398, 408 (2004) (observing that federal courts "are ill-suited" to "act as central planners, identifying the proper price, quantity and other terms of dealing" of a single firm).

Nevertheless, a group of economists as *Amici* to Petitioner suggests that professional sports leagues such as the NFL and NHL should be treated as little more than standard-setting organizations, which is how they view the NCAA. See, e.g., *Amicus Curiae* Brief of Economists at 11-12. These economists would limit permissible coordination among the league members to agreements regarding rules of play, a schedule of games, and "other behavioral rules for participants." See *id.* at 12, 19, 20.⁵

⁵ An implicit predicate to this Court's application of § 1 in *National Collegiate Athletic Association v. Board of Regents of the University of Oklahoma*, 468 U.S. 85 (1984), was the finding that the alleged restraints on the broadcast of college football games were beyond the scope of the NCAA venture. Of course, the Court observed that the NCAA was a legitimate joint venture that, among other things, "played an important role in
(cont'd)

This myopic conception of a professional sports league, however, both ignores the legitimate scope of sports-league ventures and forgets the members' complete economic interdependence. The economic significance of each NFL team derives singularly from its membership in the NFL. Only through collective efforts do teams make, promote and sell a single product that could not be created but for the venture, and without which no team – let alone its constituent products, including intellectual property – would have any significant or independent value.

The underlying reasoning of these *Amici* economists also is overtly counterfactual despite this Court's guidance that principles of antitrust law should be grounded in reality. *See Verizon*, 540 U.S. at 411 ("Antitrust analysis must always be attuned to the particular structure and circumstances of the industry at issue."). These economists blithely assert that the "value of a professional sports team is derived from the demand for games, and the demand for games is determined primarily by the identities and qualities of the teams, not the fact that the game is associated with the NFL brand name." *See Brief of Economists* at 30. This, again, is just a poor attempt to hide the ball – i.e., it is the legitimate

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the regulation of amateur collegiate sports." *See* 468 U.S. at 88, 101-02. But, the broadcast rules did not "fit into the same mold as do rules defining the conditions of the contest, the eligibility of participants, or the manner in which members of a joint enterprise shall share the responsibilities and the benefits of the total venture." *Id.* at 117. As discussed *infra*, *Dagher* confirms that § 1 – under an ancillary restraints analysis – applies to alleged restraints that fall outside the scope of a legitimate joint venture.

joint venture among the member teams that makes the *NFL* venture's products valuable, including both games and intellectual property in the form of sellable items. The relevant consumer demand is that for *NFL* football or NHL hockey games (as opposed to, e.g., minor league, college or high school games or other forms of entertainment) and teams identifiable as *NFL* or NHL teams. It is the very league format that leads to the *NFL* and NHL championship games – i.e., the Super Bowl and the Stanley Cup Finals – and that generates both fan interest and economic value in the member teams. Quite simply, it is impossible to separate the "value" of this demand from the NFL or NHL brands or the league ventures. Nor, in economic reality, can the league venture itself be viewed as separate from the inherent, requisite coordination among the member teams with respect to the production, promotion and sale of NFL football (or NHL hockey) and all of the output encompassed within that venture.⁶

⁶ The economists' fanciful hypothetical situation of an NFL disbandment and the "economic value of major league professional football" is both factually and legally irrelevant to the question of whether *Copperweld* and *Dagher*, discussed *infra*, permit the teams to coordinate as a league joint venture under § 1. See Brief of Economists at 28. Any economic value that a team were to retain in this "post-NFL" world would have originated from that team's membership in the NFL, as well as the collective production, promotion and sales of the other former venture members. And, absent formation of *another* league, the value of that team would quickly dissipate.

C. Any Collective Business Decisions Concerning League and Team Intellectual Property Licensing (or Any Other League Output) Cannot Represent the Sudden Joining of Independent Sources of Economic Power

As discussed above, *Copperweld* explained why post-formation coordination among the separate entities of a legitimate joint enterprise should not be subject to § 1 scrutiny. And on this basis a number of lower courts have applied *Copperweld*'s reasoning in other factual contexts. "For similar reasons," § 1 should not reach the ongoing, internal business decisions of professional sports leagues such as the NFL and NHL concerning the production, promotion and sale of venture output.

For example, in *Bulls II*, the Seventh Circuit found that, in the context of a professional sports league, decisions concerning venture products (there, regulations concerning the broadcast of NBA basketball games) cannot represent the *sudden* joining of independent sources of economic power under *Copperweld*. 95 F.3d at 599 ("From the perspective of fans and advertisers (who use sports telecasts to reach fans), 'NBA Basketball' is one product from a single source even though the Chicago Bulls and Seattle Supersonics are highly distinguishable, just as General Motors is a single firm even though a Corvette differs from a Chevrolet."); *see also Am. Needle*, 538 F.3d at 744; *Nat'l Football League v. N. Am. Soccer League*, 459 U.S. 1074, 1077 (1982) (Rehnquist, J., dissenting)

(the NFL "competes *as a unit* against other forms of entertainment" (emphasis added)).

Significantly, and contrary to a number of suggestions from Petitioner and its *Amici*, see, e.g., Brief of the American Antitrust Institute and Consumer Federation of America as *Amici Curiae* at 21 n.10, it does not matter under this *Copperweld* principle that one or more members of an enterprise disagree with the ultimate decisions made collectively among the venture members; the single source of the economic activity remains the same. In *City of Mt. Pleasant v. Associated Electric Cooperative, Inc.*, 838 F.2d 268 (8th Cir. 1988), for example, a purchaser of electricity alleged a price-squeezing conspiracy among members of a rural electric cooperative. *Id.* at 270. It was not in dispute that the cooperative members were "autonomous" businesses, set their own rates, managed their own profits, and on several occasions had conflicting economic interests about the cooperative's strategies, including over pricing. See *id.* at 271-72, 276-77.

Nevertheless, under *Copperweld*, the Eighth Circuit held that no member was an independent source of economic power, and that § 1 did not apply:

It will always be true that separate companies, in one enterprise, that are located in separate areas and serve separate customers, will have varying interests. . . . Coalitions will come and go according to changing conditions and the interests of the various factions.

But is this a sufficient basis from which to draw a reasonable inference

that their coordination is a "joining of two independent sources of economic power previously pursuing separate interests"? In this case, we think not. Even though the cooperatives may quarrel among themselves on how to divide the spoils of their economic power, it cannot reasonably be said that they are *independent sources* of that power. Their power depends, and has always depended, on the cooperation among themselves. They are interdependent, not independent. The disagreements we have described are more like those among the board members of a single enterprise, than those among enterprises which are themselves separate and independent.

Id. at 277.

Although Petitioner argues that § 1 "necessarily" applies to the "separately owned and controlled" NFL teams, *see* Brief of Petitioner at 39, the Seventh Circuit likewise explained that, with respect to the NFL teams' decision concerning league and team intellectual property, the teams could *not* be viewed as independent sources of economic power previously pursuing separate interests under *Copperweld*. *See Am. Needle*, 538 F.3d at 737-38. As the Seventh Circuit reasoned after recounting that no NFL team alone could produce NFL football or its constituent products: "It thus follows that only one source of economic power controls the *promotion* of NFL football." *Id.* at 743 (emphasis added).

D. The Production, Promotion and Sale of NFL Output Is Controlled by Collective Decision-Making Within the NFL Venture

Courts also have recognized that § 1 should not apply to the ongoing, internal business decisions of professional sports leagues because of *how* leagues necessarily function. Regardless of any hypothetical musing that professional sports leagues need not have formed as joint ventures among the member teams (as have the NFL and NHL), from their inception these leagues are legitimate, output-enhancing ventures that *collectively* decide upon organizational principles and structures to produce, promote and sell what its members jointly create. *See Bulls II*, 95 F.3d at 598-99 ("The point is that antitrust law permits, indeed encourages, cooperation inside a business organization the better to facilitate competition between that organization and other producers."); *Am. Needle*, 538 F.3d at 743-44; *see also City of Mt. Pleasant*, 838 F.2d at 274-75; *Areeda & Hovenkamp*, *supra*, ¶ 1462b, at 194 ("Coordination within an otherwise lawful enterprise does not create additional market power or facilitate a restraint.").

Petitioner argues, however, that *Copperweld* "cannot be extended to separately owned and controlled sports teams, whose interests and decisionmaking are *not* inherently unitary," *see* Brief of Petitioner at 40, and that the NFL teams "can compete with one another when licensing and marketing their intellectual property," *see Am. Needle*, 538 F.3d at 743. Relying on its prior decision in *Bulls II*, the Seventh Circuit below observed that

Petitioner's "proposed approach is one step removed from saying that the NFL teams can be a single entity only if the teams have 'a complete unity of interest' – a legal position that we have rejected as 'silly.'" See *Am. Needle*, 538 F.3d at 743 (citing *Bulls II*, 95 F.3d 593, 598 ("Even a single firm contains many competing interests.")).

In *Bulls II* the Seventh Circuit found that the "complete unity of interest" phrase from *Copperweld* was a "statement of fact about the parent-subsidary relation" and not a "proposition of law about the limits of permissible cooperation." 95 F.3d at 598. As the Seventh Circuit explained:

Copperweld does not hold that only conflict-free enterprises may be treated as single entities. Instead it asks why the antitrust laws distinguish between unilateral and concerted action, and then assigns a parent-subsidary group to the "unilateral" side in light of those functions. Like a single firm, the parent-subsidary combination cooperates internally to increase efficiency. Conduct that "deprives the marketplace of the independent centers of decisionmaking that competition assumes" without the efficiencies that come with integration inside a firm, go on the "concerted" side of the line. . . . We see no reason why a sports league *cannot* be treated as a single firm in this typology. It produces a single product; cooperation is essential . . . ; and a league need not deprive the

market of independent centers of decisionmaking.

Id. at 598-99 (quoting *Copperweld*, 467 U.S. at 769).

Likewise, the argument that § 1 must apply because the NFL teams are capable of "competing" against each other or the league venture itself in the area of licensing is misguided. Under *Copperweld*, it is not divergent interests among separate entities that controls the analysis; this can occur within the structure of any number of single firms. Rather, the relevant facts here are that after formation the teams are *completely* economically interdependent, and no decision among them can ever represent a *sudden* joining of independent sources of economic power – i.e., a football or hockey "team" cannot undertake *any* activity by itself that in any manner approximates economic competition against the NFL or NHL venture's products, including with respect to the licensing of NFL- or NHL-related intellectual property.

Moreover, all professional sports leagues are structured such that there is only *one* center of economic decision-making: in this case, the NFL Executive Committee, which is akin to the NHL Board of Governors. When the NFL teams chose to exclusively license league and team intellectual property through NFL Properties, Inc., it was nothing more than the organizational decision of a single enterprise regarding how it would operate. *See, e.g., Williams v. I.B. Fischer Nevada*, 999 F.2d 445, 447-48 (9th Cir. 1993) (per curiam) (applying this principle and finding that agreement among franchisor and franchisees limiting competition for managers was not subject to § 1). Much like

Copperweld's "driver of the team of horses," the collective decision-makers within professional sports leagues – such as the NHL Board of Governors – clearly have the ultimate power to control the economic activities of venture members with respect to the production, promotion and sale of venture products.

On this ultimate control principle, the court's analysis in *Seabury Management, Inc. v. Professional Golfers' Association of America, Inc.*, 878 F. Supp. 771 (D. Md. 1994), *aff'd in part, rev'd in part on other grounds*, 52 F.3d 322 (4th Cir. 1995), is particularly instructive. The court found that, under *Copperweld*, related entities should be treated as a single unit if the enterprise has the ultimate ability (there, through a similar governing board) to rein in an affiliate that does not act in the best interests of the enterprise as a whole. *See id.* at 778. Thus, while the Professional Golfers' Association of America ("PGA") consists of separately incorporated sections, "the sections are governed by the PGA Constitution, by policies adopted either at PGA annual meetings or by the PGA Board of Directors, and by other pertinent policy documents, such as trademark licensing agreements." *Id.* at 777. To be sure, "each section maintains its own revenues, has its own by-laws, elects its own officers and often conducts programs intended to benefit members of that section only. The sections' actions, however, must be approved by the PGA to ensure that they are in the best interests of the organization as a whole." *Id.* at 778. The court concluded: "This type of 'ability to control' is perhaps the determinative factor in the *Copperweld* analysis." *See id.* at 778 & n.6 (noting that the "PGA always had ultimate control over the

section[s], which could not function as [sections] independent of the PGA").⁷

Likewise here, professional sports leagues such as the NFL and NHL have ultimate control over the operations of their member teams. Indeed, under the NHL Constitution the NHL Board of Governors – after following certain procedural safeguards – has the ability to fine, suspend, expel or even terminate an ownership group or franchise for violations of the NHL Constitution, By-Laws, Board Resolutions, or other league rules and procedures.

E. The NFL's Decision to Structure Itself As a Joint Venture Among Separately Owned Teams Is Not Relevant to the *Copperweld* Inquiry

Under *Copperweld*, it is irrelevant whether the constituent products related to NFL football and its intellectual property (e.g., television broadcasts of the games, league and team logos, merchandise such as hats, and advertising and sponsorship rights) are promoted and sold collectively by the league or individually by each member team. As discussed above, no team alone could conceivably offer any such products – nor would these products have any independent existence or value – absent the NFL

⁷ The suggestion that "[s]ingle-entity treatment under *Copperweld* requires . . . an entity be controlled by those with legal and economic incentives to act for the interests of the entity as a whole," *see, e.g.*, Brief of American Antitrust Institute and Consumer Federation of America at 5, would limit *Copperweld* to not only the parent-subsidary context, but also the narrowest legal standard conceivable.

venture. Therefore, the venture's decision to centralize or decentralize its economic operations in whole or in part is irrelevant to the question of whether § 1 should apply to its ongoing, internal business decisions concerning venture output.

A finding of concerted action should not turn on formalistic line-drawing with respect to an enterprise's choice to structure itself in a certain, less "integrated" business form. *See Copperweld*, 467 U.S. at 771-73 ("[A] rule that punished coordinated conduct simply because a corporation delegated certain responsibilities to autonomous units might well discourage corporations from creating divisions with their presumed benefits."). As the *Copperweld* Court stated: "The existence of an unincorporated division reflects no more than a firm's decision to adopt an organizational division of labor. . . . a business enterprise establishes divisions to further its own interests in the most efficient manner." *Id.* at 770.⁸ A rule to the contrary "would serve no useful antitrust purpose but could well deprive consumers of the efficiencies that decentralized management may bring." *Id.* at 771; *see also id.* at 772 ("The economic, legal, or other considerations

⁸ Professional sports leagues such as the NFL and NHL – at formation – recognized the efficiencies and advantages to be gained from separate ownership of the member teams and limited, independent economic operation by each team in its local market; these include more meaningful competition on the field (or ice) from the perspective of the fans and a stronger affiliation between fans and the home team in a given locale. As the *Copperweld* Court noted, among other things, "[l]ocal incorporation may . . . improve local identification." 467 U.S. at 773 n.20; *see also Bulls II*, 95 F.3d 597-98.

that lead corporate management to choose one structure over the other are not relevant to whether the enterprise's conduct seriously threatens competition.").

Thus, as the Seventh Circuit properly concluded, "though the several NFL teams could have competing interests regarding the use of their intellectual property that could conceivably rise to the level of potential intra-league competition, those interests do not necessarily keep the teams from functioning as a single entity." *Am. Needle*, 538 F.3d at 743. Because the venture output – NFL football and its constituent products – could not exist but for the formation of the NFL joint venture, the structure of the NFL venture does not deprive the market of independent centers of competing interests. Accordingly, professional sports leagues should not be subject to § 1 scrutiny merely because in varying forms and degrees they have sought to capture the economic benefits – both to each member team and the league venture as a whole – that are specific to local team ownership.

In sum, under *Copperweld*'s principles, § 1 scrutiny should never apply to the production, promotional and marketing decisions of professional sports leagues – or any other legitimate joint venture for that matter – where the alleged restraints reflect nothing more than the members' ongoing decisions about how and where to sell what the venture creates. At a minimum, this Court should affirm the Seventh Circuit's decision in *American Needle* and confirm that the NFL teams cannot conspire for purposes of § 1 when collectively deciding how to license either league or team intellectual property.

II. ***Dagher's* Reasoning Flows from *Copperweld's* Principles and Should Be Applied to Exempt the Ongoing, Internal Business Decisions of Professional Sports Leagues Concerning Venture Output**

In *Texaco Inc. v. Dagher*, 547 U.S. 1 (2006), this Court highlighted that joint ventures are an "important and increasingly popular form of business organization." *Id.* at 5. Finding that "[a]s a single entity, a joint venture, *like any other firm*, must have the discretion to determine the prices of the products that it sells," this Court held – on the narrow question presented – that *per se* scrutiny of "internal . . . decisions of a legitimate joint venture" would be inappropriate as a matter of law. *Id.* at 7 (emphasis added). This Court emphasized that, because the respondents had not put forth a rule of reason claim, it was unnecessary to "address petitioners' alternative argument that § 1 of the Sherman Act is inapplicable to joint ventures." *See id.* at 7 n.2.

The reasoning of *Dagher* should now be applied to hold – consistent with the *Copperweld* principles discussed above – that § 1 scrutiny should *never* reach the internal business decisions of a legitimate professional sports league concerning venture output (i.e., how to make, promote and sell the very products the venture creates).

A. ***Dagher's* Reasoning Limits Section 1 Scrutiny**

As a threshold matter, it is important to note that *Dagher* examined how § 1 should apply to

legitimate joint ventures. Echoing Senator Sherman's guidance that § 1 should not reach the "lawful combination," the *Dagher* Court stated: "We presume for purposes of these cases that [the enterprise] is a lawful joint venture. . . . there is no contention here that it is a sham." *Id.* at 6 n.1.⁹

This Court then asked whether the members of the *legitimate* joint venture at issue were competitors prior to formation, and whether they would remain independent competitors after creating or joining the venture. The Court found that the members:

[D]id not compete with one another in the relevant market . . . but instead participated in that market jointly through their investments in [the venture]. In other words, the pricing policy challenged here amounts to little more than price setting by a single entity – albeit within the context of a joint venture – and not a pricing agreement between competing entities with respect to their competing products.

547 U.S. at 5-6; *see also Copperweld*, 467 U.S. at 768-69; *City of Mt. Pleasant*, 838 F.2d 268, 276-77.

⁹ "Had respondents challenged [the joint venture] itself, they would have been required to show that its creation was anticompetitive under the rule of reason." *Id.* (citing *Copperweld*, 467 U.S. at 768). As discussed above, the legitimate scope of the NFL venture necessarily includes the production, promotion and sale of NFL football and its constituent products.

Thus, in *Dagher* this Court implicitly found that § 1 should apply to members of a legitimate joint venture only if:

- prior to venture formation, the venture members were "competing entities" with respect to "competing products";
- after forming the venture, the members remain independent competitors capable of offering competing products; *and*
- the members offer products *outside* the scope of the venture's activities that "compete" with the venture.

See Dagher, 547 U.S. at 7-8.¹⁰

Indeed, *Dagher* confirmed what this Court implicitly suggested in *Broadcast Music, Inc. v. Columbia Broadcasting System, Inc.*, 441 U.S. 1 (1979): that a joint venture should be treated as a single entity with respect to the production, promotion and sale of *venture* output. *See id.* at 22 ("[T]o the extent the blanket license is a different product, ASCAP is not really a joint sales agency offering the individual goods of many sellers, but is a

¹⁰ This Court already has observed that a joint venture may lawfully prohibit its members from exploiting venture output (e.g., intellectual property) to independently compete against the venture itself. *See United States v. Penn-Olin Chem. Co.*, 378 U.S. 158, 171 (1964) ("If the parent companies are in competition, or might compete absent the joint venture, *it may be assumed that neither will compete with the progeny in its line of commerce.*" (emphasis added)).

separate seller offering its blanket license, of which the individual compositions are raw material." (emphasis added)).

B. The Ongoing, Internal Business Decisions of Professional Sports Leagues Concerning Venture Output Fall Squarely Within the Reasoning of *Dagher*

The reasoning of *Dagher* is particularly compelling as applied to the ongoing, internal business decisions of professional sports leagues. In *Dagher*, two previously independent competitors agreed to cease competing with one another – for a limited duration – and participate in the market only jointly through the venture. This Court referred to the joint venture's internal pricing decision concerning its product as "little more than price setting by a single entity." See 547 U.S. at 5-6 (noting that "though [the venture]'s pricing policy may be price fixing in a literal sense, *it is not price fixing in the antitrust sense*" (emphasis added)).¹¹

By contrast, for professional sport leagues there is *no* pre-existing economic competition among the teams at the time of league formation. In turn, there can be no potential "independent" competition after formation of the league: the venture output (both games and constituent products) cannot be created

¹¹ "Literalness is overly simplistic and often overbroad. When two partners set the price of their goods or services they are literally 'price fixing,' but they are not per se in violation of the Sherman Act." *Broad. Music, Inc. v. Columbia Broad. Sys., Inc.*, 441 U.S. 1, 9.

without the collective participation of the venture members; and after formation § 1 should not apply to decisions concerning how to make, market or promote the venture products. *See id.*

The members of professional sports leagues such as the NFL and NHL jointly create a product (including all of the venture's constituent intellectual property and merchandise) that *no* one team can make alone, and the teams are fully economically interdependent – i.e., they simply cannot be independent economic entities with respect to any "competing product" outside the NFL and NHL ventures. *See Am. Needle*, 538 F.3d at 737, 743. Indeed, no member of a professional sports league or any of its team-specific products or intellectual property can have any meaningful value beyond participation in the league enterprise. Accordingly, *Dagher's* underlying principles shield from § 1 scrutiny *all* of a professional sports league's decisions concerning the production, promotion and sale of the venture's products.

C. Section 1 Still Applies to Alleged Restraints That Fall Outside the Scope of the Venture

Single-entity treatment of a professional sports league's internal business decisions concerning how to make, promote and sell venture products would not leave § 1 without an enforcement role applicable to these ventures, however. Section 1 still reaches alleged restraints on any venture member's activities *outside* the scope of the venture's business. *See, e.g., N. Am. Soccer League v. Nat'l Football League*, 670 F.2d 1249 (2d Cir. 1982) (examining a restriction on

NFL team's *non-venture* activities – "cross-ownership" rule that prohibited owners from investing in other professional sports); *PolyGram Holding, Inc. v. FTC*, 416 F.3d 29, 37 (D.C. Cir. 2005) (agreement with respect to pricing and advertising of "products not part of the joint venture"); *Yamaha Motor Co. v. FTC*, 657 F.2d 971, 981 (8th Cir. 1981) (finding violations of FTC Act § 5 with respect to "certain agreements collateral to the joint venture" that were "not limited to the subject of the joint venture, . . . but serve[d] to eliminate possible competition with respect to other products").

Any such alleged restraint would fall outside of the venture's internal workings on how to make, promote and sell the venture products, and could affect the venture members in their non-venture business. Under *Dagher*, an ancillary restraints analysis applies. *See* 547 U.S. at 7-8 ("That doctrine governs the validity of restrictions imposed by a legitimate business collaboration, such as a business association or joint venture, on nonventure activities.").

Where, however, the restraints at issue are the internal business decisions of a legitimate joint venture (particularly, a professional sports league) concerning the promotion and sale of venture products, *Dagher* compels the conclusion that these ventures should be shielded from § 1 scrutiny just "like any other firm." *See id.* ("[T]he ancillary restraints doctrine has no application here, where the business practice being challenged involves the core activity of the joint venture itself – namely, the pricing of the very goods produced and sold."). Only then can legitimate joint ventures such as

professional sports leagues compete on a level playing field with other firms.

D. The Alternative Test Proposed by the United States As *Amicus* Would both Limit *Dagher* to Its Facts and Effectively Overrule *Copperweld*

In a transparent attempt to avoid the implications of *Dagher*'s reasoning, the United States as *Amicus* to Petitioner has suggested a "two-part" test that, both erroneously and ironically, would transform *Dagher*'s factual context into a legal standard and effectively reverse *Copperweld*. See Brief for the United States as *Amicus Curiae* at 16-19. The United States would only allow single-entity treatment of legitimate professional sports league ventures if the "teams have effectively merged an aspect of their operations – that is, where they have completely eliminated competition among themselves in that activity," *see id.* at 16, and the relevant agreement does "not significantly affect actual or potential competition among the teams or between the teams and the league outside their merged operations," *see id.* at 17.

The proposal of the United States would at once sweep aside *Dagher* and render *Copperweld* an historical aberration. Certainly, the purported "test" is contrary to any notion of permitting this important form of business organization to operate as would any single firm without first "merging" all operations.

As discussed above, with respect to venture output that can only be created jointly by the member teams of a professional sports league – e.g., NFL football and its constituent products – there can

be no competition "in the antitrust sense" among those teams (or between the teams and the league); nor could there have been any such pre-existing competition before formation of the venture. *See Dagher*, 547 U.S. at 6.¹² This alone sweeps away the underlying rationale of the proposed test: pre-existing, independent competition. More importantly, *Dagher* did not identify any necessary degree of integration – let alone an "effective merger" – as a limiting principle under which joint ventures should be treated as single firms. And, of course, it would make no sense to constrain the types of ventures that should be so regarded based simply on such formalistic line-drawing.

Indeed, *Copperweld* itself would have been wrongly decided under the "effective merger" standard devised by the United States. A certain degree of "competition" between any parent and its separately incorporated subsidiaries or divisions that offer overlapping products is certainly conceivable – perhaps even commonplace. With respect to professional sports leagues in particular, courts have acknowledged the importance of some individual team autonomy – again, as determined by collective decisions within the venture – in order to maintain the products' popularity. *See, e.g., Bulls II*, 95 F.3d

¹² The United States concedes, as it must, that "[d]ifferent issues are presented when the venturers neither competed with each other before formation nor compete with one another or their venture after formation." Brief for the United States at 17 n.7. The member teams of a professional sports league satisfy this standard and, under the reasoning of *Dagher*, § 1 would not apply to agreements among the members concerning venture output.

at 597-98 ("Separate ownership of the clubs promotes local boosterism, which increases interest; each ownership group also has a powerful incentive to field a better team, which makes the contests more exciting and thus more attractive.").¹³

Copperweld expressly rejected this formalistic understanding of § 1, and instead examined whether these separate entities were even capable of conspiring. As this Court stated: "The appropriate inquiry in this case . . . is not whether the coordinated conduct of a parent and its wholly owned subsidiary may ever have anticompetitive effects Such a rule would obliterate the Act's distinction between unilateral and concerted conduct, contrary to the clear intent of Congress." 467 U.S. at 776; *see also id.* at 774-77 (discussing "gap" in § 1 with respect to unilateral conduct). The alternative test proposed by the United States accords with neither *Dagher* nor *Copperweld*, and should be given no weight.¹⁴

¹³ "These functions of independent team ownership do not imply that the league is a cartel, however, any more than separate ownership of hamburger joints (again useful as an incentive device) implies that McDonald's is a cartel." 95 F.3d at 598 (citation omitted).

¹⁴ "We have already noted that Congress left this 'gap' for eminently sound reasons. Subjecting a single firm's every action to judicial scrutiny for reasonableness would threaten to discourage the competitive enthusiasm that the antitrust laws seek to promote." *Copperweld*, 467 U.S. at 775; *see Verizon Commc'ns Inc. v. Law Offices of Curtis V. Trinko, LLP*, 540 U.S. 398, 414 (2004) (cautioning against any construction of antitrust law that may "chill the very conduct the antitrust laws are designed to protect" (citation and internal quotation marks omitted)).

Thus, this Court should recognize that *Dagher* represents the logical application of *Copperweld* to *legitimate* joint ventures, and confirm that § 1 does not reach the ongoing, internal business decisions of a professional sports league concerning venture output.

CONCLUSION

For the foregoing reasons, the Court should affirm the Seventh Circuit decision, and apply the reasoning of *Copperweld* and *Dagher* to the ongoing, internal business decisions of professional sports leagues concerning venture output.

Respectfully submitted,

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Dated: November 24, 2009